

Xtep International Holdings (1368.HK)

2Q26 sell-through under pressure leading to risk in guidance, yet discount remained disciplined; Buy

1368.HK

12m Price Target: HK\$5.60

Price: HK\$3.69

Upside: 51.8%

Xtep reported a muted 2Q26 operating results with Xtep core retail sales at -MSD% yoy decline (vs +LSD% yoy growth in 1Q) and Saucony at +LSD% yoy growth (vs. >20% yoy in 1Q). Mgmt attributed the slowdown to weaker macro and disciplined discounts to uplift brand equity. For context, Anta/ Li Ning (adult + kids) / Pou Sheng/ Topsports posted +MSD%/Flat/-3%/-low-teens% yoy decline in 2Q26. **In terms of discount and inventory, the company notes Xtep/Saucony discounts remained flat/slightly improved, while mgmt comments that industry-wide discount was deeper.** That said, we observe inventory level increases to 4.5-5.0x (vs 4.0-4.5x in 2Q25), posing some pressure on future discounting if brand elevation progress is slower than expected.

Both brands' transformation remains on track strategically, but we view the execution slightly slower than we expected amid weak macro environment. For **Xtep core**, mgmt noted steady growth in e-commerce and kidswear, while offline channel was under pressure and sequentially deteriorated from 1Q as what we observed in the industry in the June quarter. Despite near-term challenges, management remained constructive on the long-term development of China's sportswear market and reiterated its strategy of broadening the consumer base, as well as enhancing brand equity through ongoing DTC transformation. For **Saucony**, mgmt reiterated its branding strategies, including solidifying the premium brand positioning, tighter e-commerce price control and more focus on offline channel expansion. Although 2026 outlook of +MSD% yoy group revenue growth (positive for Xtep brand, 20-30% for Saucony) and HSD% NPM is reiterated, **mgmt acknowledged that July-to-date retail trends have not shown meaningful improvement and topline remained pressured by sluggish consumer demand.**

Against the backdrop of subdued demands in 1H26, we revised down sales down by 2-3% in 2026E-28E to reflect a more gradual

BUY

Michelle Cheng

+852-2978-6631 | michelle.cheng@gs.com
Goldman Sachs (Asia) L.L.C.

Molly Dai

+852-3966-4000 | molly.dai@gs.com
Goldman Sachs (Asia) L.L.C.

Keira Liu

+852-2978-0473 | keira.liu@gs.com
Goldman Sachs (Asia) L.L.C.

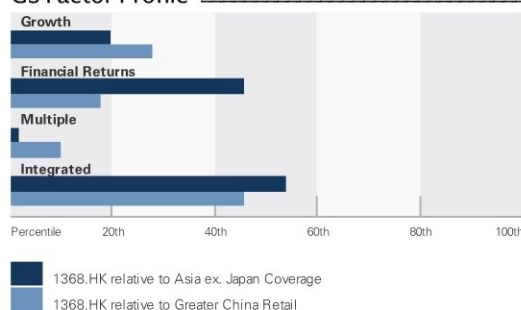
Key Data

Market cap: HK\$10.4bn / \$1.3bn
Enterprise value: HK\$8.7bn / \$1.1bn
3m ADTV: HK\$60.0mn / \$7.7mn
China
Greater China Retail
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	14,151.1	14,434.2	15,512.6	16,006.2
Revenue (Rmb mn) Old	14,151.1	14,799.4	15,961.4	16,437.3
EBITDA (Rmb mn)	1,797.7	1,709.6	2,020.7	2,176.6
EPS (Rmb) New	0.47	0.42	0.48	0.51
EPS (Rmb) Old	0.47	0.42	0.50	0.53
P/E (X)	11.2	7.6	6.6	6.2
P/B (X)	1.4	0.8	0.7	0.7
Dividend yield (%)	4.9	7.2	8.3	8.8
CROCI (%)	14.6	12.3	12.3	12.1
	6/25	12/25	6/26E	12/26E
EPS (Rmb)	0.31	0.16	0.27	0.14

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html. Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.

BUY

Xtep International Holdings (1368.HK)

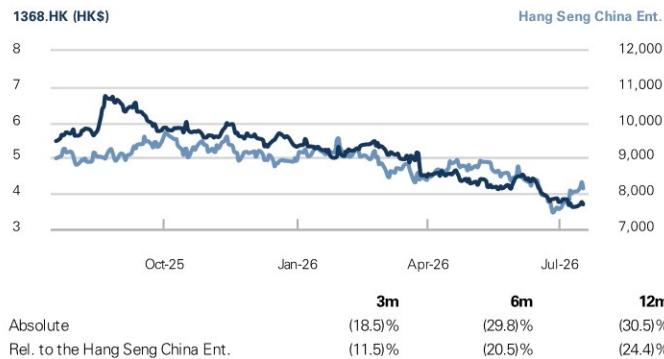
Rating since Sep 13, 2022

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	11.2	7.6	6.6	6.2
P/B (X)	1.4	0.8	0.7	0.7
FCF yield (%)	4.2	10.8	13.9	19.1
EV/EBITDAR (X)	7.0	4.1	3.2	2.6
EV/EBITDA (excl. leases) (X)	7.5	4.4	3.4	2.6
CROCI (%)	14.6	12.3	12.3	12.1
ROE (%)	14.5	11.7	12.7	12.6
Net debt/equity (%)	(12.2)	(12.9)	(17.1)	(23.5)
Net debt/equity (excl. leases) (%)	(14.5)	(15.3)	(19.5)	(25.9)
Interest cover (X)	13.1	12.2	14.8	16.0
Days inventory outst, sales	44.2	49.5	48.9	46.7
Receivable days	131.1	129.3	123.6	123.7
Days payable outstanding	89.2	73.0	65.7	65.7
DuPont ROE (%)	13.4	11.4	12.3	12.2
Turnover (X)	0.8	0.8	0.8	0.8
Leverage (X)	1.7	1.6	1.6	1.6
Gross cash invested (ex cash) (Rmb)	12,984.0	13,929.9	14,949.2	16,003.7
Average capital employed (Rmb)	8,666.4	8,914.7	9,205.7	9,230.6
BVPS (Rmb)	3.82	4.02	4.33	4.63

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	4.2	2.0	7.5	3.2
EBITDA growth	(8.9)	(4.9)	18.2	7.7
EPS growth	(0.1)	(10.5)	15.6	6.5
DPS growth	(60.7)	(10.5)	15.6	6.5
EBIT margin	10.6	9.6	10.9	11.4
EBITDA margin	12.7	11.8	13.0	13.6
Net income margin	9.7	8.5	9.1	9.4

Price Performance**Income Statement (Rmb mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	14,151.1	14,434.2	15,512.6	16,006.2
Cost of goods sold	(8,088.0)	(8,148.1)	(8,667.5)	(8,908.6)
SG&A	(4,562.9)	(4,903.2)	(5,159.9)	(5,268.9)
R&D	—	—	—	—
Other operating inc./exp.)	—	—	—	—
EBITDA	1,797.7	1,709.6	2,020.7	2,176.6
Depreciation & amortization	(297.5)	(326.7)	(335.5)	(347.9)
EBIT	1,500.2	1,382.9	1,685.2	1,828.7
Net interest inc./exp.)	(98.6)	(98.4)	(99.0)	(97.6)
Income/(loss) from associates	54.4	55.5	59.7	61.6
Pre-tax profit	1,973.4	1,730.0	2,001.3	2,132.6
Provision for taxes	(601.8)	(502.3)	(582.5)	(621.3)
Minority interest	0.0	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	1,371.6	1,227.6	1,418.8	1,511.3
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	1,371.6	1,227.6	1,418.8	1,511.3
EPS (basic, pre-exception) (Rmb)	0.51	0.46	0.53	0.57
EPS (diluted, pre-exception) (Rmb)	0.47	0.42	0.48	0.51
EPS (basic, post-exception) (Rmb)	0.51	0.46	0.53	0.57
EPS (diluted, post-exception) (Rmb)	0.47	0.42	0.48	0.51
DPS (Rmb)	0.26	0.23	0.26	0.28
Div. payout ratio (%)	49.8	49.8	49.8	49.8

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	3,457.1	3,622.0	4,228.4	5,185.7
Accounts receivable	5,155.3	5,069.5	5,432.9	5,419.8
Inventory	1,829.0	2,082.1	2,078.3	2,019.7
Other current assets	1,780.9	1,794.9	1,868.8	1,902.6
Total current assets	12,222.3	12,568.5	13,608.5	14,527.8
Net PP&E	1,759.8	1,848.8	1,928.9	2,001.0
Net intangibles	24.5	37.6	50.6	63.6
Total investments	303.9	303.9	303.9	303.9
Other long-term assets	2,588.3	2,616.0	2,644.6	2,672.6
Total assets	16,898.9	17,374.8	18,536.5	19,569.0
Accounts payable	1,755.8	1,503.4	1,616.9	1,590.2
Short-term debt	840.5	840.5	840.5	840.5
Short-term lease liabilities	104.7	125.6	137.8	151.2
Other current liabilities	2,450.2	2,625.4	2,817.5	3,028.0
Total current liabilities	5,151.2	5,094.9	5,412.6	5,609.9
Long-term debt	1,138.6	1,138.6	1,138.6	1,138.6
Long-term lease liabilities	124.3	125.6	137.8	151.2
Other long-term liabilities	282.2	267.9	291.6	308.1
Total long-term liabilities	1,545.1	1,532.1	1,568.0	1,597.9
Total liabilities	6,696.4	6,627.0	6,980.6	7,207.8
Preferred shares	—	—	—	—
Total common equity	10,202.5	10,747.8	11,555.8	12,361.2
Minority interest	0.0	0.0	—	—
Total liabilities & equity	16,898.9	17,374.8	18,536.5	19,569.0
Net debt, adjusted	(1,478.0)	(1,642.9)	(2,249.3)	(3,206.6)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	1,371.6	1,227.6	1,418.8	1,511.3
D&A add-back	297.5	326.7	335.5	347.9
Minority interest add-back	0.0	—	—	—
Net (inc)/dec working capital	(805.0)	(265.4)	(133.7)	219.2
Other operating cash flow	88.3	44.5	(24.7)	(31.6)
Cash flow from operations	952.4	1,333.4	1,596.0	2,046.8
Capital expenditures	(264.1)	(264.1)	(264.1)	(264.1)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	244.7	28.2	70.4	65.0
Cash flow from investing	(19.4)	(235.9)	(193.7)	(199.1)
Repayment of lease liabilities	(107.9)	(150.1)	(150.1)	(154.5)
Dividends paid (common & pref)	(610.0)	(682.4)	(610.8)	(705.9)
Inc/(dec) in debt	(458.0)	0.0	—	—
Other financing cash flows	721.1	(100.0)	(35.0)	(30.0)
Cash flow from financing	(454.7)	(932.5)	(795.9)	(890.4)
Total cash flow	478.3	164.9	606.4	957.3
Free cash flow	580.4	919.1	1,181.8	1,628.2

Source: Company data, Goldman Sachs Research estimates.

brand transformation trajectory, while 2026E-28E NP was cut by 1-3% as GPM is expected to be supported by disciplined discounts. We cut our TP to HK\$5.6 from HK\$5.7 prior. Although short-term results are volatile, our long-term view on the company is unchanged, and we believe the investments in 2026 will pave way for a more healthy and sustainable business in the long run. Maintain Buy rating on undemanding valuation of c.8x 2026E P/E or c.3x 2026E P/E-ex-cash.

Recent trend and outlook: Xtep 2Q26 Xtep core retail sales at -MSD% yoy decline (vs +LSD% yoy growth in 1Q) and Saucony at +LSD% yoy growth (vs. >20% yoy in 1Q). Mgmt noted 3QTD trend largely similar with 2Q. Company reiterated the 2026 outlook of +MSD% yoy group revenue growth (positive for Xtep brand, 20-30% for Saucony) and HSD% NPM.

Xtep core

- **Retail sales:** Core Xtep retail sales declined by -MSD% yoy in 2Q26 with offline sales under pressure affected by macro headwind and unfavorable weather and online remained healthy growth. 3QTD trend largely similar with 2Q with no signs of meaningful improvement yet.
- **Discounts:** 2Q retail discounts remained broadly stable yoy at 25-30%, among which online discounts improved yoy.
- **Products:** mgmt highlighted running category maintained growth in 1H26, led by DD% growth in flagship running shoes and 70%+ yoy growth in the 2,000KM franchise, while Kids' Growth Sneaker series doubled in sales. Mgmt also highlighted positive consumer response to the 360X 3.0 and Qing Yun cushioning series.
- **Channel Inventory was relatively healthy** at 4.5-5 months by 2Q26 (vs. 4.5x by 1Q26).
- **Update on channel strategies:**
 - **Select Outlet Stores:** The company has opened 60+ select outlet stores so far and has seen positive results, and will continue to roll-out in 2H26.
 - **DTC:** DTC transformation is on track with its previous plan. Company indicated they have converted 100 stores in 1H26, and expect to convert an additional 400 stores in 2H2026.
- **Comments on Overseas: Online** saw strong growth with 1H26 cross-border e-com sales + >100% yoy. **Offline,** the company has opened 13 new stores in Indonesia/Malaysia in 1H26, and will continue to open stores in ASEAN in 2026.

Saucony:

- Saucony's retail sales in 2Q26 was +LSD% yoy, moderated from >20% yoy in 1Q26, mainly to the brand's proactive tightening of online discounts, while offline momentum remained strong at 20%+ yoy in 2Q26.
- **Brand investments:** mgmt highlighted that Saucony's key priority in 2026 is to further elevate its premium brand positioning, supported by increased engagement with high-end consumers through running events and event sponsorship.
- **Product:** On top of professional running products as foundation of the core

products across both racing and cushioning, the company sees lifestyle footwear and apparel as the key incremental growth opportunities for the brand going forward.

- **Channel:** For offline channel, mgmt noted to focus on quality stores opening and store upgrades rather than aggressive stores opening, and expect to open 20-30 new stores in 2026. The new stores will be concentrated in high tier cities and core locations, typically in 200-300 sqm large format. Existing stores are also being upgraded through better floor/location adjustments.

Exhibit 1: Sportswear quarterly retail sales trend

Sales yoy	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Nike (Greater China)	6%	7%	-3%	-11%	-15%	-20%	-10%	-16%	-10%	-17%
adidas (Greater China)	8%	9%	9%	16%	+14% ex-Yeezy +13% incl-Yeezy	+11% ex-Yeezy +2% incl-Yeezy	+10% ex-Yeezy +6% incl-Yeezy	+15% ex-Yeezy +15% incl-Yeezy	17%	
Amer Sports (Greater China) -	51%	54%	56%	54%	43%	42%	47%	42%	45%	
Puma (Greater China)	7%	8%	1%	7%	-18%	-4%	-20%	-20%	9%	
Puma (Asia Pacific)	1%	2%	4%	10%	-5%	-3%	-9%	-13%	8%	
Under Armour (Asia Pacific)	9%	-7%	-10%	-6%	-26%	-10%	-14%	-5%		
Uniqlo (Greater China)	-3%	-5%	3%	-4%	0%	GC: -3% ML China: -5%	ML China: -4%	GC: +6%	GC: +3%	GC: +3%
Asics (Greater China, in LLC)	16.6%	26%	16%	29%	Asics group: 19.4% P.Run 9.5% SPS 53.9% CPS 4.4% OT 29.1% APEQ 8.8%	Asics group: 20.6% P.Run 5.7% SPS 70.9% CPS 11.8% OT 28.1% APEQ 24.0%	Asics group: +21.9% P.Run: +22.0% SPS: +23.4% CPS: +21.3% OT: +16.0% APEQ: +14.0%	Asics group: +23.0% P.Run: +19.6% SPS: +13.8% CPS: +27.7% OT: +14.0% APEQ: +27.6%	Asics group: +20.0% P.Run: +7.6% SPS: +57.3% CPS: +45.5% OT: +15.3% APEQ: +32.5%	
Lululemon (China)	52%	37%	36%	48%	22%	24%	47%	21%	23%	
Canada Goose (China)	32%	11%	5%	-8%	5%	20%	12%	13%	25%	
Canada Goose (Asia Pacific)	33%	25%	3%	-2%	12%	27%	40%	11%	23%	
Moncler (mainland China)	n.a.	positive	slow down	DD	positive trend	flat	Positive growth	DD	DD	
The North Face (Greater Chin	almost 30%			+DD	positive	n.a.	n.a.	n.a.	n.a.	
The North Face (Asia Pacific,	2% (Cfx)	35% (Cfx)	19% (Cfx)	16%	12%	16%	7%	-3% (Cfx)	7% (Cfx)	
Columbia (Greater China)	+high-20s	mid-teens	+mid-20%	+mid-teens	+low-teens	high-teens	MSD	LDD	MSD	
Raulp Lauren (China)							>30%	>30%	>50%	
Topsports sales (quarterly upc	+LSD	-MSD	- low-teens	-MSD	-MSD	-MSD	-HSD	-HSD	-LSD	-low-teens%
Pou Sheng sales	-7%	-11%	-11%	-3%	-5%	-12%	-6%	-5%	-1%	-3%
ON running					>100%	>100%	>100%	+DD	+DD	
Retail sales growth (yoy)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Li Ning	+LSD	-LSD	-MSD	+HSD	+LSD	+LSD	-MSD	-LSD	+MSD	-LSD
- Retail (dir. operation)	+MSD	flat	-MSD	-LSD	-LSD	-MSD	-MSD	-LSD	+Low-teens	-LSD
- Wholesale	-MSD	-HSD	-HSD	+MSD	+LSD	+LSD	-HSD	-MSD	+LSD	-MSD
- e-commerce	+L-20s	+HSD	+MSD	M-teens	+L-teens	+MSD	+HSD	flat	+HSD	+MSD
Anta brand	+MSD	+HSD	+MSD	+HSD	+HSD	+LSD	+LSD	-LSD	+HSD	+LSD
- adult offline	+LSD	offline +LSD overall +HSD	offline +LSD overall +MSD	offline +MSD	offline +MSD overall +HSD	offline +LSD overall +LSD	offline +LSD	offline -LSD	offline +MSD	offline decline
- Kids	slightly negative	offline flat overall +MSD	offline -SD overall +MSD	offline +LSD overall +LDD	offline +LSD overall +HSD	offline +LSD overall +LSD	offline +LSD	-LSD	offline +HSD	offline decline
- e-commerce	20-25%	20-25%	20%-25%	+high-teens	+low DD	+LSD	+HSD	+LSD	Overall +Mid-teens Adult +LDD, Kids 20%+	LDD
Fila & other brands										
Fila	+HSD	+MSD	-LSD	+HSD	+HSD	+MSD	+LSD	+MSD	+Low-teens	+LSD
Fila by sub-brands	Kids/Fusion underperformed Classics	Classic +HSD, Kids/Fusion bad	Classic is ok, but Fusion/kids bad	Classic+HSD, Kids +MSD, Fusion +HDD	Classic +MSD, Kids +low-teens, Fusion +Mid- teens	Classic +HSD, Kids MSD, Fusion MSD	Classic: +LSD Kids/fusion: slightly negative	Classic +HSD, Kids +LSD, Fusion +LSD		
Fila by channel: offline	Classic +LSD, Fusion/Kids small decline	Classic +LSD, Kids flat, Fusion +LSD	Decline	Classic +LSD, Kids slightly decline, Fusion +mid-teens	Classic +LSD, Kids +MSD, Fusion +mid- teens	Classic +MSD, Kids flat, Fusion +LSD	n.a.	Classic +MSD, Kids - LSD, Fusion -LSD	Classic +HSD, Kids +LDD, Fusion +LDD	Classic: decline, Kids: decline, Fusion: +MSD
Fila by channel: online	+25-30%	+20%	+HSD	+mid-teens	+mid-teens	+low-DD	+HSD	+LDD	Overall +LDD Classic +LDD, Kids +20%+, Fusion +HSD	+LDD
- Other brands	+25-30%	+40-45%	+45-50%	+50-55%	+65-70%	+50-55%	+45-50%	+35-40%	+40-45%	+25-30%
- Descente	+20-25%	+35-40%	+35-40%	+45-50%	+55-60%	+40-45%	30%	25%-30%	30-35%	20%+
- Kolon	+ over 50%	+60%	+65-70%	+60-65%	+90-95%	+70-75%	70%	55%	50-55%	40%+
- MAIA					>30%	>30%	45%	25%-30%	30-35%	25%+
Xtep	+HSD	10%	+MSD	+HSD	+MSD	+LSD	+LSD	Flat	+LSD	-MSD
- Xtep retail offline	+LSD	+LSD	Slight growth	+LSD	+LSD	Flat to slight growth	Flat to slight growth	Decline	Decline	Decline
- Xtep online	25%	25%	+H-teens	>20%	>20%	Online outpace offline	Double digit	+DD	+DD	Stable growth
Saucony	>50%	S&M: >50%	>50%	around 50%	>40%	>20%	>20%	>30%	>20%	+LSD
361 degree										
adult offline	high-teens	10%	10%	10%	10-15%	10%	10%	10%	10%	mid-high single digit
kids offline	20-25%	mid-teens	10%	10-15%	10-15%	10%	10%	10%	10%	mid-high single digit
e-com	20-25%	30-35%	>20%	30-35%	35%-40%	20%	20%	High DD	Mid teens	HSD

Source: Company data

Xtep earnings revision

Exhibit 2: Xtep earnings revision table

Xtep group Rmb mn	Dec-26 2026E			Dec-27 2027E			Dec-28 2028E		
Income statement	New	Old	Var	New	Old	Var	New	Old	Var
Total Revenue	14,434	14,799	-2.5%	15,513	15,961	-2.8%	16,006	16,437	-2.6%
By Brand									
Xtep (Mass market)	12,587	12,772	-1.5%	13,331	13,568	-1.7%	13,545	13,738	-1.4%
Saucony & Merrell (Professional sports)	1,848	2,027	-8.9%	2,182	2,394	-8.8%	2,462	2,699	-8.8%
COGS	(8,148)	(8,374)	-2.7%	(8,667)	(8,943)	-3.1%	(8,909)	(9,173)	-2.9%
Gross Profit	6,286	6,425	-2.2%	6,845	7,019	-2.5%	7,098	7,264	-2.3%
SG&A	(4,903)	(5,003)	-2.0%	(5,160)	(5,275)	-2.2%	(5,269)	(5,371)	-1.9%
Operating Income - reported	1,773	1,802	-1.6%	2,041	2,099	-2.8%	2,169	2,234	-2.9%
Operating Income - recurring	1,383	1,422	-2.8%	1,685	1,743	-3.3%	1,829	1,894	-3.4%
Net Income from continued operation	1,228	1,250	-1.8%	1,419	1,460	-2.8%	1,511	1,558	-3.0%
YoY %									
Total Revenue	2.0%	4.6%	-2.6ppt	7.5%	7.9%	-0.4ppt	3.2%	3.0%	0.2ppt
By Brand									
Xtep (Mass market)	0.6%	2.1%	-1.5ppt	5.9%	6.2%	-0.3ppt	1.6%	1.3%	0.4ppt
Saucony & Merrell (Professional sports)	12.9%	23.9%	-11.0ppt	18.1%	18.1%	0.0ppt	12.8%	12.8%	0.0ppt
COGS	0.7%	3.5%	-2.8ppt	6.4%	6.8%	-0.4ppt	2.8%	2.6%	0.2ppt
Gross Profit	3.7%	6.0%	-2.3ppt	8.9%	9.2%	-0.3ppt	3.7%	3.5%	0.2ppt
SG&A	7.5%	9.7%	-2.2ppt	5.2%	5.4%	-0.2ppt	2.1%	1.8%	0.3ppt
Operating Income - reported	(12.2%)	(10.7%)	-1.5ppt	15.1%	16.5%	-1.4ppt	6.3%	6.4%	-0.2ppt
Operating Income - recurring	(7.8%)	(5.2%)	-2.6ppt	21.9%	22.6%	-0.7ppt	8.5%	8.6%	-0.1ppt
Net Income from continued operation	(10.5%)	(8.9%)	-1.6ppt	15.6%	16.9%	-1.3ppt	6.5%	6.7%	-0.2ppt
Margin/% of sales									
Total Revenue	100.0%	100.0%	0.0ppt	100.0%	100.0%	0.0ppt	100%	100%	0.0ppt
COGS	-56.4%	-56.6%	0.1ppt	-55.9%	-56.0%	0.2ppt	-56%	-56%	0.1ppt
Gross Profit	43.6%	43.4%	0.1ppt	44.1%	44.0%	0.2ppt	44%	44%	0.1ppt
SG&A	-34.0%	-33.8%	-0.2ppt	-33.3%	-33.1%	-0.2ppt	-33%	-33%	-0.2ppt
Operating Income - reported	12.3%	12.2%	0.1ppt	13.2%	13.1%	0.0ppt	14%	14%	0.0ppt
Operating Income - recurring	9.6%	9.6%	0.0ppt	10.9%	10.9%	-0.1ppt	11%	12%	-0.1ppt
Effective tax rate	30.0%	30.0%	0.0ppt	30.0%	30.0%	0.0ppt	30%	30%	0.0ppt
Net Income from continued operation	8.5%	8.4%	0.1ppt	9.1%	9.1%	0.0ppt	9%	9%	0.0ppt

Source: Goldman Sachs Global Investment Research

Price target risks and methodology - Xtep International Holdings

Valuation methodology: We are Buy rated on Xtep with a 12-month TP of HK\$5.6, based on a 11x 2026E P/E.

Key downside risks: Slower industry growth on weakening consumption, and weaker-than-expected execution on discount control and inventory management, intensifying competition.

Disclosure Appendix

Reg AC

We, Michelle Cheng, Molly Dai and Keira Liu, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Michelle Cheng Goldman Sachs (Asia) L.L.C., Molly Dai Goldman Sachs (Asia) L.L.C., Keira Liu Goldman Sachs (Asia) L.L.C., Xinyu Ruan Goldman Sachs (Asia) L.L.C..

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for Xtep International Holdings is/are relative to the other companies in its/their coverage universe: Anta Sports Products, Bloks Group Ltd., Bosideng International Holdings, Chagee Holdings, Chow Tai Fook Jewellery Group, Chow Tai Seng Jewellery, Eclat Textile Co., Feng Tay Enterprises, Gourmet Master Co., Guming Holdings Ltd., Haidilao International Holding, Huali Industrial Group, Jiumaojiu, Juawei Food, Laopu Gold, Li Ning Co., Luckin Coffee Inc., Luk Fook Holdings, Makalot Industrial Co, Miniso (ADR), Miniso (H), Mixue Group, Pop Mart, Pou Sheng International Holdings, President Chain Store, Shanghai M&G, Shenzhen International Group, Stella International Holdings, Topsports Intl Holdings, Uni-President Enterprises, Xtep International Holdings, Yue Yuen Industrial, Yum China Holdings (ADR), Yum China Holdings (H)

Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

There are no company-specific disclosures for: Xtep International Holdings (HK\$3.69)

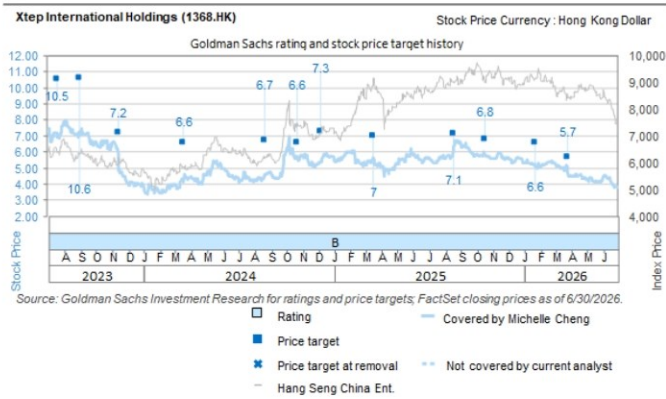
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)
Xtep International Holdings (1368.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
26-Mar-26	5.70	4.78
23-Jan-26	6.60	5.08
17-Oct-25	6.80	5.80
18-Aug-25	7.10	6.15
18-Mar-25	7.00	5.69
06-Dec-24	7.30	5.36
23-Oct-24	6.60	5.70
20-Aug-24	6.70	4.63
18-Mar-24	6.60	4.14
14-Nov-23	7.20	4.90
30-Aug-23	10.60	7.27
18-Jul-23	10.50	7.15

Price targets shown in table(s) are unadjusted for corporate actions.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is

not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: <https://www.goldmansachs.com/worldwide/india/research-analyst>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Ratings, coverage universe and related definitions

Buy (B), Neutral (N), Sell (S) Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

Total return potential represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

Coverage Universe: A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at <https://www.gs.com/research/hedge.html>.

Not Rated (NR). The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by

Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.